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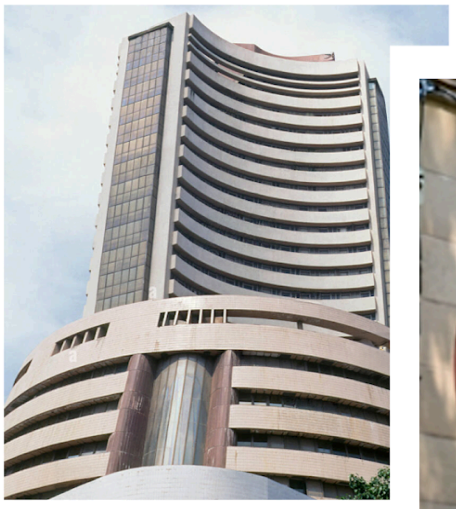
General Knowledge

Indian Economy

STUDY NOTES

Economic Growth and Development



Introduction:

- An increase in **economic variables** over a period of time is economic growth.
- The most important aspect of growth is its **quantifiability**, i.e., one can measure it in absolute terms.
- **Economists** generally define economic growth as the process whereby the real per capita income of a country increases over a long period.

Total National Income

- **Total National income** –National income is defined as the value of all final goods and services produced in a country in a year. It can be expressed in terms of gross domestic product (GDP) or gross national product (GNP)
- GDP – GDP is defined as the value of all final goods and services produced in a year in the domestic territory of a country. We can say the GDP of India is the value of all goods and services produced by the enterprises located within the territory of India.
- GNP – GNP is the value of all final goods and services produced by the nationals of a country in a year whether living within a country or outside. Total National Income
- **TIP: GNP = GDP + NFIA**

Per Capita Income

Per Capita Income – Per Capita Income is the average income of the people of a country.

$$\textbf{Per Capita Income (or Product)} = \frac{\textbf{National Income of a Country}}{\textbf{Population}}$$

$$\textbf{Per Capita Income (in terms of GNP)} = \frac{\textbf{GNP of a Country}}{\textbf{Population}}$$

Economic Development

- Economic development indicates the quality of life in the economy.

- It has many variables like the level of nutrition Expansion and reach of healthcare facilities—hospitals, medicines, safe drinking water, vaccination, sanitation, etc.

Economic Development can be defined in

Traditional Approach

- Economic development as per this approach means a sustained increase in real per capita income.
- An increase in real per capita income means an increase in the amount of goods and services available to the citizens for consumption and investment.
- Traditionally economic development and economic growth are used as synonyms for each

New Approach

- Economic development is the process whereby the real per capita income of a country increases over a long period of time along with the reduction of poverty, inequality, and unemployment.
- The new view of economic development considers economic development as multidimensional in nature.
- It includes an increase in income, improvement in material welfare, eradication of poverty, and reduction of income inequality and unemployment.
- This definition of economic development is comprehensive in nature. It takes into account.

Growth and Development

Economic Growth	Economic Development
It is a narrow concept	It is a more comprehensive term (growth change)
It refers to more output	It includes composition of output, allocation of resources to different sectors like agriculture, industry etc

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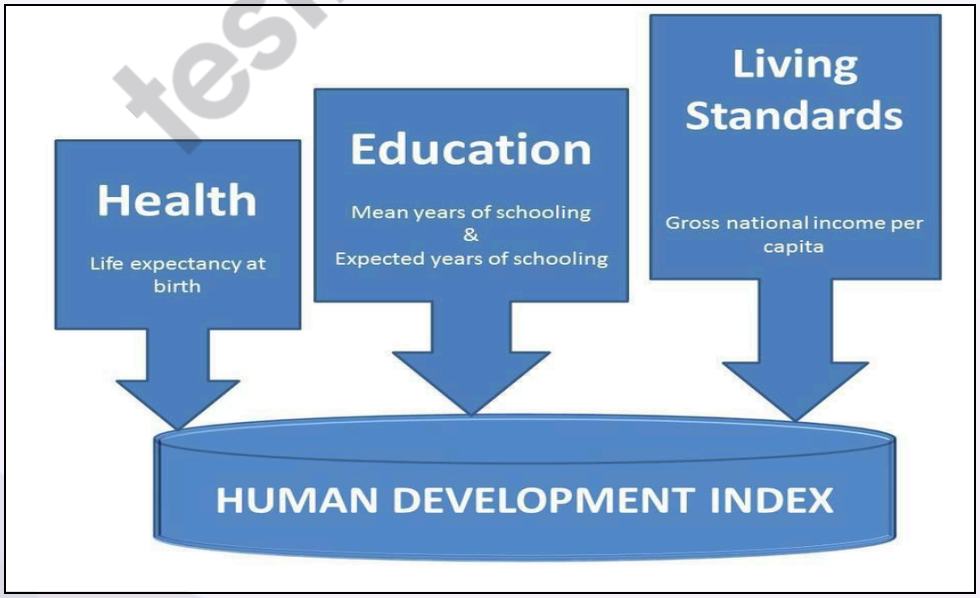
It involves a rise in income	It involves a rise in income + reduction of poverty, inequality of income and unemployment.
It involves only quantitative changes in the economy	It involves quantitative + qualitative changes in the economy
It is easier to realize as output can be increased by using a larger quantity of inputs and increasing their efficiency	It is far more extensive and involves a whole lot of changes in society- changes in the social structure, attitudes, and institutions.

Important Indice

- There are various indices released by various international and national institutions which are:
    - The Human Development Index (HDI)
    - The Inequality-adjusted Human Development Index (IHDI)
    - The Gender Development Index (GDI)
    - The Augmented Human Development Index (AHDI)

Human Development Index



Sustainable Development Goals

- The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by all United Nations Member States in 2015 as a universal call to action to end poverty, protect the planet and ensure that all people enjoy peace and prosperity by 2030.
- The 17 SDGs are integrated—that is, they recognize that action in one area will affect outcomes in others, and that development must balance social, economic and environmental sustainability.